

exposure will increase as the market goes down and decrease as the market goes up. We do similar calculations using the Nasdaq and Russell 2000 indexes and then derive a composite target exposure based on the relation between current prices and the price bands in all three indexes.

What are the other elements of your investment approach besides a reversion-to-the-mean adjustment in your portfolio net exposure?

After determining the portfolio net exposure, we do a similar analysis by sector, trying to identify sectors that are cheap and sectors that are expensive.

I assume that you favor longs in sectors that are cheap and shorts in sectors that are expensive. Are there exceptions?

All the time. The relative valuations are only a guideline. It is critical to also examine the specific fundamentals. For example, Brazil may show up as being expensive, but the fundamentals are very good, so I don't want to be short.

The next part of our analysis is figuring out why a sector or stock is expensive or cheap, and do we see something that is going to change that? That is where we spend 90 percent of our time. I look for anomalies. When I screen quarterly earnings, I look for quarterly earnings that are up more than 50 percent or down more than 30 percent. For example, recently, the earnings for Rock Tenn, a paper company, were up huge. So I tried to figure out why.

What was the reason?

The paper stocks had been cheap for four or five years. I had been looking for a reason to buy them, but it is not a great business, and I couldn't come up with one. But over time, there were two things that had happened. First, no one had built any capacity for years because the business was so bad. Second, there was consolidation. As a result of these factors, there was an inflection point; the pricing power had shifted in favor of the suppliers. It is easier to turn down business when capacity is running at over 90 percent than when it is running at 60 percent. I didn't necessarily want to own paper companies long term, but I wanted to own them then. That is why we bought Rock Tenn.